

Case-Wendy's

Team 10



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Team Case – Wendy’s

Take the role of external consultant/advisor to Kirk Tanner, CEO, of Wendy’s.

Part 1

“DYNAMIC PRICING” – YES

1. Reason/Pros 1: Maximize Revenue

- a. Maximizing profits is crucial for the growth and success of businesses. Dynamic pricing allows companies to adjust their prices according to changes in demand, ultimately maximizing their revenue. By raising prices during peak hours when demand is high, businesses can take advantage of customers' willingness to pay more, leading to increased profit margins. This not only improves profitability but also aids in effectively managing inventory by regulating demand through higher prices and ensuring efficient product sales. Additionally, by analyzing purchasing patterns and demand trends, businesses can predict the most effective pricing strategies to maximize revenue in the long term.

2. Reason/Pros 2: Competitiveness

- a. Dynamic pricing gives businesses an edge in a constantly changing market by allowing them to adjust prices according to market shifts, making sure they stay adaptable and appealing to customers. This flexibility enables companies to respond to competitor pricing strategies, seasonal changes, and economic fluctuations. Through ongoing evaluation and improvement of pricing, companies can grow their market share and strengthen their competitive position. Additionally, this flexibility fosters customer loyalty, as customers value businesses that provide clear and timely price changes.

3. Reason/Pros 3: Customer Segmentation

- a. Utilizing dynamic pricing allows businesses to customize their offerings according to various customer behaviors and preferences, this enhances customer segmentation. Certain customers may be inclined to pay more for immediate product access, while others may opt to wait for discounts. By implementing dynamic pricing, companies can effectively segment their

market and target specific groups based on their purchasing tendencies. This approach not only expands the customer base but also boosts sales opportunities by catering to both price-sensitive customers and those prioritizing convenience. Ultimately, this segmentation results in increased overall revenue and customer satisfaction.

4. Reason/Pros 4: Higher Value of Products

- a. Implementing dynamic pricing can enhance the perceived value of products, particularly during off-peak seasons. Strategically adjusting prices during periods of low demand allows businesses to remain profitable even when overall sales are lower. Customers who place a high value on the product may still be inclined to purchase if the seasonal demand is low. This method helps balance revenue fluctuations throughout the year, ensuring that companies can sustain profits even in challenging market conditions. Additionally, by creating a sense of urgency around limited time offers or exclusive pricing, companies can encourage customers to make purchases they might otherwise postpone.

5. Reason/Pros 5: Operational Efficiency

- a. Dynamic pricing data can help Wendy's better understand the demand patterns, allowing for accurate allocation of resources and demand patterns, helping them allocate resources accordingly by understating the demand for specific items in peak demand, Wendy's can make sure inventories are distributed and purchased properly. Since the pricing model would be more accurate, Wendy's can stop giving blanket discounts that they may not be getting a lot of traction on. Wendy's could use this as an opportunity to target certain customer segments in times of low demand.

6. Cons:

- a. **Customer Alienation:** Wendy's is a well-known fast-food restaurant chain that offers affordable pricing for fresh foods. Applying dynamic pricing with this fast-food restaurant could frustrate loyal customers who are trying to

save money when they decide to go to Wendy's. For example, customers are expected to pay a certain amount before going into the restaurant, but when they arrive, they find out the price is higher than what they are expected to pay. This could frustrate customers if they see price hikes during busy hours.

- b. Complexity in Operations:** By implementing dynamic pricing. It would require Wendy's to integrate data analytics and research into their ordering systems. This was way more complex and time-consuming for a fast-food restaurant chain. This adds complexity to their regular operations which could slow down their services, especially in peak hours. The implementation of dynamic pricing will also increase the cost of operations since it requires a significant amount of data and people to accomplish this goal.
- c. Inconsistent Experience:** In the past, Wendy's provided a comfortable dining experience at a fair price. People went to Wendy's because of the cheap and delicious fast food. Implementing dynamic pricing could create unpredictability where customers arriving at Wendy's at different time frames are receiving different prices for the same meal ordered. This will lead to dissatisfaction and an inconsistent experience for customers who choose to eat at Wendy's. This was not a positive experience for customers since social media is very accessible and can spread the message quickly to the public.
- d. Other Competitions:** There are a lot of competitors in the fast-food industry. If Wendy's decided to introduce dynamic pricing, people would most likely choose to eat at other fast-food restaurants like McDonald's or Chick-fil-A. This is because other competitors can offer a predictable price range for their food. There is also not much of a difference between McDonald's and Wendy's. This could lead to Wendy's losing its market share with other fast-food competitors.

7. How are the stakeholders affected?

- a. Customers:** Customers might be frustrated and angry due to the price changes. They might be charged more during busy times and charge less when there are not a lot of people at the restaurant. This could lead to

customers switching to other competitors when they want to eat at a fast-food restaurant. Loyal customers are used to consistent pricing methods and think that dynamic pricing is an unfair way to charge customers.

- b. Employees:** By implementing dynamic pricing, employees may be faced with more customer complaints and might need extra training to explain dynamic pricing. Customers might be confused due to the price variability, which would cause employees to be more stressed during peak operation hours.
- c. Franchise Operators:** The franchise operators will likely benefit from the dynamic pricing. They could earn higher revenues during peak hours which would increase profitability. Implementing this new pricing system will require operating system upgrades and other training which was costly.
- d. Competitors:** There is a lot of competition in the fast-food industry. Competitors like McDonald's could take advantage of Wendy's dynamic pricing by predicting their prices and further reducing their market share of customers. There is a chance that Wendy's will gain success with its dynamic pricing strategy. This will cause the competitors to be under pressure to implement the same model as Wendy's, which increases the complexity of the fast-food industry.

8. Expected Results

- a. Dynamic Customer Base:** With the implementation of dynamic pricing, Wendy's could draw in a customer base that is interested in the different products that the dynamic pricing effects, allowing for surges of certain merchandise that helps if there is a low supply of the item as well as for when specific merchandise needs to be offloaded.
- b. Customer Shocks:** A lack of consistent pricing could cause some disconnect between consumers and Wendy's. This could also lead to bad interactions in the store if customers come and see that an item that they really like has changed prices since the most recent time they were there. This could potentially put a strain on the relationships between Wendy's and customers, which could overall lower customer loyalty and retention rates.
- c. Market Leader:** Implementing dynamic pricing could allow Wendy's to be at the forefront of the fast food industry, adapting to prices from suppliers to

increase their profits accordingly in a fast manner, which could allow for increased revenue, leading to increased innovation in the company creating new products for customers to create a taste for which could allow Wendy's to create products that others have to copy to stay competitive in the market.

Part 2

“DYNAMIC PRICING” – NO

1. Reason/Pros 1: Competitive Advantage

- a.** If Wendy's implements surge pricing while competitors like McDonald's or Burger King maintain stable pricing, customers may flock to those alternatives. Fast food patrons often prioritize affordability, and dynamic pricing could drive them away, giving rivals a clear advantage in attracting cost-conscious diners.
- b.** McDonald's, with its dominant market position and strong brand loyalty, may have the ability to implement surge pricing without significantly losing customers. Wendy's, however, lacks a similarly strong customer base and brand loyalty, making it more likely to lose customers if prices increase during peak times. By avoiding surge pricing, Wendy's could position itself as a customer-friendly alternative, offering consistent pricing when competitors might opt for dynamic models, thus attracting price-sensitive diners and retaining a competitive edge.

2. Reason/Pros 2: Customer Alienation and Loss of Trust

- a.** Dynamic pricing can frustrate loyal customers if they feel they are being charged more at certain times for the same meal. Unlike ridesharing or travel, fast food is a daily, predictable expense for many people. A sudden price increase during busy hours could alienate customers, causing them to feel exploited and lose trust in the brand.
- b.** For an example of how customers may react to sudden price hikes, Uber similarly implemented a surge pricing strategy, which led to customers temporarily shifting to competitors, such as Lyft.

- c. Customers may perceive consistent pricing as fair and transparent, which builds long-term trust in the brand. In this case, the CEO, Kirk Tanner, announced dynamic pricing, which triggered negative social media reactions, making customers feel like they were being exploited during high-demand periods. If Wendy's chooses not to do dynamic pricing, the competitors would not be able to use this as a weapon to attack Wendy's again, leading to the trust built between Wendy's and their customers.

3. Reason/Pros 3: Inconsistent Brand Experience

- a. Wendy's is known for offering consistent, affordable pricing as part of its value proposition. Implementing surge pricing could create an inconsistent experience that contradicts this image. Customers may be confused or put off by fluctuating costs, especially if they frequent the restaurant during peak hours and feel the price no longer reflects the value they expect.
- b. Wendy's mission is its commitment to offer fresh food at a fair price. By not using dynamic pricing, they could maintain brand loyalty and appeal to a broader base of customers, especially those who value price stability and those who are sensitive to price change.
- c. Considering Wendy's "Good Done Right" mission, it might undermine Wendy's commitment to fairness by implementing a surge pricing strategy.

4. Reason/Pros 4: Simplified Operations:

- a. Without dynamic pricing, Wendy's pricing and operational strategies remain simpler, reducing the complexity of staff and technology systems in managing real-time pricing adjustments. There will be reduced training requirements, as staff will not need specialized training to understand or manage dynamic pricing systems, saving time and resources.
- b. The ordering and payment process is more straightforward, allowing for quicker customer throughput during peak times.
- c. Demand patterns remain more stable, making it easier to forecast and predict inventory needs and optimize supply chain logistics.

- d. The potential technology costs and employee training required to manage dynamic pricing effectively could strain Wendy's operational efficiency, which is crucial for their fast-food model that heavily relies on speed and consistency.

5. Cons:

- a. **Loss of Potential Revenue:** Wendy's could be missing out on significant revenue gains by not adapting its pricing strategy to align with fluctuations in demand. During low-demand hours, having "lower" pricing could attract more customers. Without dynamic pricing, Wendy's continues to charge a flat rate, thus forgetting the opportunity to capture the increased willingness to pay at high-demand hours and the opportunity to attract more customers during low-demand hours. The gap between static pricing and the potential market value limits revenue maximization and could affect the overall profitability, especially when competitors in the fast-food industry are quick to capitalize on these opportunities.
- b. **Competitor Profitability:** If Wendy's competitors successfully implement dynamic pricing strategies and see increased profitability, Wendy's risks being left behind. Competitors that leverage real-time data and adjust prices based on factors like demand surges or time of day can optimize their margins and generate more income. This added revenue gives them a competitive edge, allowing for reinvestment in other areas such as marketing, innovation, or customer experience. Wendy's reluctance to adopt dynamic pricing could reduce its market competitiveness, leading to a loss in both market share and long-term profitability as other brands become more agile and responsive to consumer behavior.

6. How are the stakeholders affected?

- a. **Customers:** Customers may appreciate the consistency in pricing as it provides a sense of transparency and predictability, especially for those who frequent Wendy's, and value knowing exactly what they will pay. However, in

a market where their competitors adopt dynamic pricing, some customers might begin to expect discounts or promotions during off-peak hours. Without such discounts, Wendy's risks losing price-sensitive customers to competitors who capitalize on dynamic pricing by offering lower prices during off-peak times. In the long term, this could lead to customer dissatisfaction, as they may feel they are not receiving the best value for their money, especially if they perceive competitors as being more responsive to market conditions. Furthermore, this potential loss of customers harms Wendy's long-term profitability and customer retention.

- b. Employees:** From an operational standpoint, a lack of dynamic pricing simplifies the pricing model for employees, reducing confusion at the point of sale and streamlining order management. Employees benefit from a more straightforward system, which may lead to fewer mistakes and less pressure during busy times. However, the absence of dynamic pricing may also mean missed opportunities for performance bonuses or other incentives tied to higher sales during peak demand.
- c. Shareholders:** Shareholders may appreciate the stability and customer loyalty that come with consistent pricing, as it can protect Wendy's brand from customer backlash or negative press often associated with surge pricing models. They may see value in maintaining a positive brand image that prioritizes fairness and customer satisfaction. However, this conservative approach could also be viewed as a missed opportunity. Shareholders might feel disappointed by the company's reluctance to pursue a dynamic pricing strategy that could increase profits during high-demand periods. If competitors can generate higher revenues and greater profitability through pricing flexibility, Wendy's could fall behind in growth potential, ultimately impacting returns on investment and the company's stock performance over time.

7. Expected Results:

- a. Stable Customer Base:** By maintaining consistent pricing, Wendy's could attract and retain a stable customer base that values predictability and fairness in pricing. Customers who prioritize transparency may feel a

stronger sense of trust and loyalty toward the brand, knowing they won't encounter unexpected price hikes. This predictability can be particularly appealing to budget-conscious customers or those who dislike the complexity of fluctuating prices. Over time, this could foster stronger brand loyalty, as customers come to associate Wendy's with reliability and a consistent value proposition, helping to maintain a solid and loyal customer base even as competitors introduce more complex pricing strategies.

- b. Missed Growth in Profit Margin:** While stable pricing might appeal to a portion of the customer base, Wendy's could miss out on opportunities to boost its profit margins during periods of high demand. Dynamic pricing allows companies to capitalize on peak times when customers are willing to pay more, such as during lunch rushes or special events. Without adjusting prices to reflect this heightened demand, Wendy's may leave money on the table. The inability to capture this potential increase in revenue could limit the company's profitability in the short and long term, preventing Wendy's from realizing its full financial potential, especially in a competitive market where profit margins are often tight.
- c. Competitive Positioning:** As competitors successfully adopt dynamic pricing strategies and enjoy increased revenue and profitability, Wendy's may find it more difficult to keep up. Competitors that effectively leverage dynamic pricing can reinvest those additional profits into areas like marketing, menu innovation, or technology improvements, which could further strengthen their market position. Wendy's, by contrast, would need to rely more heavily on other growth strategies, such as expanding its menu, enhancing the customer experience, or boosting operational efficiency, to remain competitive. If dynamic pricing becomes the industry norm, Wendy's could be perceived as lagging, making it harder to attract new customers and potentially weakening its competitive edge in the fast-food market.

Conclusion

In conclusion, dynamic pricing offers Wendy's the potential to boost revenue, improve operational efficiency, and better segment customers by adjusting prices based on demand. However, it risks alienating loyal customers, creating an inconsistent brand experience, and adding operational complexity. Perhaps, a hybrid strategy that incorporates dynamic pricing selectively—targeting specific items or periods—could allow Wendy's to capture some of the benefits without alienating its core customer base or undermining its value-driven brand identity.